UK Family Investment Company (FIC) Implementation Brief

Objective: To establish a UK corporate vehicle (FIC) capable of receiving a 70,000,000 KES (£420,000) commercial loan from a Kenyan SPV, purchasing a £360,000 residential property in Woolston (Centenary Quay) from its founding director, and operating it as a yielding BTL asset to service the SPV debt.

1. FIC Setup: Procedure & Requirements

A Family Investment Company is simply a standard UK Private Limited Company (Ltd) tailored through bespoke Articles of Association to manage family wealth and investments.

- **Incorporation Procedure:**
  - Register the company with Companies House.
  - Appoint yourself as the sole Director.
  - Assign the appropriate SIC Code: `68209` (Other letting and operating of own or leased real estate).
- **Share Structuring (Crucial):**
  - Unlike a standard company, a FIC often uses "alphabet shares" (Class A, Class B, Class C). This allows you to retain 100% of the voting rights (Control) while potentially distributing dividend rights to spouses or children in the future (Wealth preservation/IHT planning).
- **Estimated Costs:**
  - Basic Companies House Registration: £50
  - Bespoke Articles & Tax Accountant Setup Fees: £1,500 – £3,000.
  - Corporate Bank Account Setup: Free, but requires rigorous AML compliance (see SPV documentation requirements).

2. The Property Acquisition (£360,000 Centenary Quay, Woolston)

Because you (the Director) are selling your personal asset to your own company, this is a **"Connected Party Transaction."** HMRC scrutinizes these heavily to ensure no tax evasion occurs.

- **The Market Value Rule:** The FIC *must* purchase the property at its exact open-market value. You cannot sell it to your FIC for an artificial discount or premium.
- **Requirement:** You must obtain a formal **RICS (Royal Institution of Chartered Surveyors) "Red Book" Valuation** (approx. £350 - £500) to prove the £360,000 price tag to HMRC.
- **Acquisition Costs (Paid by the FIC):**
  - **Property Price:** £360,000
  - **Stamp Duty Land Tax (SDLT):** Corporate bodies purchasing residential property are subject to the 3% surcharge.
    - Standard SDLT on £360k + 3% Surcharge = **£15,800**.
  - **Legal Fees (Conveyancing):** The transaction requires independent representation (one solicitor for you personally, one for the FIC) to prevent conflict of interest. Approx. **£2,000 - £2,500**.
- **Total Capital Deployed by FIC:** ~£378,300.

- *Note: With £420,000 incoming from the SPV, the FIC retains ~£41,700 as an operational cash buffer.*

3. Personal Obligations & Taxes (After You Sell)

Once the FIC buys the house, you personally receive £360,000 (minus your solicitor fees).

- **Clearing the Personal Mortgage:** You must immediately clear the £325,000 mortgage.
  - *Obligation:* You will likely incur an **Early Repayment Charge (ERC)** from your UK bank (typically 1% to 5% of the outstanding balance, depending on your fixed-term status). You must factor this into your personal £35,000 equity calculation.
- **Capital Gains Tax (CGT):**
  - *Scenario A (Primary Residence):* If you have lived in this Centenary Quay property as your sole/main home for the entire time you have owned it, **Private Residence Relief (PRR)** applies. You will owe **£0** in CGT.
  - *Scenario B (Investment/Second Home):* If this was already a rental, you will owe CGT (18% or 24% depending on your income tax band) on the gain in value since you bought it.

4. Operational Revenue Stream (Centenary Quay)

The FIC now operates as a BTL landlord. Centenary Quay is a highly sought-after development for young professionals and families.

- **Gross Rental Income:** A 4-bedroom end-of-terrace in this area currently commands **£1,750 to £1,950 per calendar month (pcm)**. We will use £1,850 for calculations.
  - *Annual Gross Revenue:* £22,200.
- **Operational Costs (Deductible B2B Expenses):**
  - **Property Management:** Using a local Southampton agent (e.g., Leaders, Savills) on a fully managed basis typically costs 12% + VAT (approx. 14.4%). *Annual Cost: ~£3,200.*
  - **Service Charges/Ground Rent:** Applicable if the estate has communal upkeep (common in Centenary Quay). *Estimated: £500/year.*
  - **Insurance (Landlord/Building):** *£300/year.*
  - **Maintenance Provision:** *£1,000/year.*
- **Net Operating Income (Before SPV Debt):** ~£17,200/year.

5. Obligation to the Kenyan SPV & UK Tax Considerations

The FIC is obligated to service the Master Loan Agreement (70M KES at 3%).

- **The Debt Servicing:** At £1 = 166.6 KES, the 3% interest equals roughly £12,600 per year.
- **FIC Cash Flow Check:** Net Operating Income (£17,200) - SPV Interest (£12,600) = **+£4,600 Annual Surplus.** The property comfortably pays for the debt while accumulating a cash buffer.
- **UK Corporation Tax:** The FIC only pays Corporation Tax (currently 19% for profits under £50,000) on its *net profit*. Because commercial loan interest is a deductible business expense, the FIC only pays 19% tax on the £4,600 surplus (approx. £874/year in tax).
- **The Withholding Tax Trap (Crucial Action Item):**
  - When a UK company pays interest to an overseas entity (the Kenyan SPV), HMRC generally requires the UK company to withhold 20% of that interest payment and send it to HMRC as tax.

- *The Fix:* The UK and Kenya have a **Double Taxation Agreement (DTA)**. Your UK accountant must apply to HMRC for a "Treaty Direction" to reduce this withholding tax rate (usually capped at 15% under the DTA). The FIC deducts this, pays it to HMRC, and the SPV can use the receipt to claim tax credits in Kenya.

6. Execution Summary Checklist

1. **Incorporate FIC & Draft Master Loan Agreement (with Tranche Schedules).**
2. **Execute SPV Capital Wire to FIC Corporate Account (£420,000).**
3. **Instruct RICS Valuer & Independent Solicitors.**
4. **FIC Purchases Property (£360k) -> FIC Pays SDLT (£15.8k).**
5. **Director Clears Personal Mortgage (£325k + ERC) -> Claims PRR for £0 CGT.**
6. **FIC Appoints Southampton Letting Agent -> Tenant Secured.**
7. **FIC Services SPV Debt from Rental Income, deducting Withholding Tax as per UK/Kenya DTA.**